

Consult your lawyer before signing this form.

PURCHASE MONEY MORTGAGE

THIS MORTGAGE, made the _____ day of _____, Two Thousand and Twenty-One

BETWEEN

Timothy Porter, with an address of 43 Popletown Road, New Paltz, NY
_____, the mortgagor,

and

IPA Asset Management, LLC, with an address of 45 Sarah Drive, Farmingdale,
NY

_____, the mortgagee,

WITNESSETH, that to secure the payment of an indebtedness in the sum of Six-Hundred
Thousand-----
(\$600,000.00) Dollars lawful money of the United States,

to be paid in monthly installments of interest of Five-Thousand dollars (\$5,000.00), with
interest thereon to be computed from the date hereof, at the rate of 10 per cent per annum, and
to be paid on the _____ day of _____, 2021, next ensuing and the 1st day of each and
every month thereafter until _____, 2023, at which time the balance of all
remaining principal and interest shall become due and payable.

According to a certain bond, note or obligation bearing even date herewith, the mortgagor
hereby mortgages to the mortgagee

ALL that certain plot, piece or parcel of land, with the buildings and improvements
thereon erected, situate, lying and being in the Town of Esopus, County of Ulster and State of
New York, known as 724 Old Post Road, New Paltz, NY 12561, S/B/L 71.2-2-42.200, bounded
and described as follows:

SEE SCHEDULE "A" ATTACHED HERETO

TOGETHER with all right, title and interest of the mortgagor in and to the land lying in the
streets and roads in front of and adjoining said premises;

TOGETHER with all fixtures, chattels and articles of personal property now or hereafter
attached to or used in connection with said premises, including but not limited to furnaces,
boilers, oil burners, radiators and piping, coal stokers, plumbing and bathroom fixtures, stoves,
ranges, awnings, screens, window shades, elevators, motors, dynamos, refrigerators, kitchen
cabinets, incinerators, plants and shrubbery and all other equipment and machinery, appliances,
fittings, and fixtures of every kind in or used in the operation of the buildings standing on said
premises, together with any and all replacements thereof and additions thereto;

TOGETHER with all awards heretofore and hereafter made to the mortgagor for taking by eminent domain the whole or any part of said premises or any easement therein, including any awards for changes of grade of streets, which said awards are hereby assigned to the mortgagee, who is hereby authorized to collect and receive the proceeds of such awards and to give proper receipts and acquittances therefore, and to apply the same toward the payment of the mortgage debt, notwithstanding the fact that the amount owing thereon may not then be due and payable; and the said mortgagor hereby agrees, upon request, to make, execute and deliver any and all assignments and other instruments sufficient for the purpose of assigning said awards to the mortgagee, free, clear and discharged of any encumbrances of any kind or nature whatsoever.

BEING the same property conveyed to Timothy Porter, the mortgagor herein by Deed from IPA Asset Management, LLC, executed and delivered and intended to be recorded simultaneously herewith, this being a Purchase Money Mortgage for the sum stated herein.

AND the mortgagor covenants with the mortgagee as follows:

1. That the mortgagor will pay the indebtedness as hereinbefore provided.
2. The mortgagor will keep the buildings on the premises insured against loss by fire for the benefit of the mortgagee; that he will assign and deliver the policies to the mortgagee; and that he will reimburse the mortgagee for any premiums paid for insurance made by the mortgagee on the mortgagor's default in so insuring the buildings or in so assigning and delivering the policies.
3. That no building on the premises shall be altered, removed or demolished without the written consent of the mortgagee, excepting improvements and additions to the premises, all of which shall be completed in compliance with all applicable federal, state and local codes and requirements.
4. A. That the whole of said principal sum and interest shall become due at the option of the mortgagee: after default in the payment of any installment of principal or of interest for fifteen days; or after default in the payment of any tax, water rate, sewer rent or assessment for thirty days after notice and demand; or after default after notice and demand either in assigning and delivering the policies insuring the buildings against loss by fire or other insurable hazards or in reimbursing the mortgagee for premiums paid on such insurance, as hereinbefore provided; or after default upon request in furnishing a statement of the amount due on the mortgage and whether any offsets or defenses exist against the mortgage debt, as hereinafter provided. An assessment which has been made payable in installments at the application of the mortgagor or lessee of the premises shall nevertheless, for the purpose of this paragraph, be deemed due and payable in its entirety on the day the first installment becomes due or payable or a lien.
- B. Prior to commencing any action or proceeding to foreclose this mortgage based upon a default, the lender shall send notice of default to payor, allowing payor ten (10) days from the date of the mailing of the notice to cure said default, Any notice to payor shall be to the above-

stated address, unless payor notifies lender in writing of a change of address and the change of address is acknowledged in writing by lender as having been received.

5. That the holder of this mortgage, in any action to foreclose it, shall be entitled to the appointment of a receiver.
6. That the mortgagor will pay all taxes, assessments, sewer rents or water rates, and in default thereof, the mortgagee may pay the same. In the event that mortgagee makes of said payments, then interest shall accrue and be payable to mortgagee in the same manner as for provided for on the original debt in this mortgage and the related note.
7. That the mortgagor within five (5) days upon request in person or within ten (10) days upon request by mail will furnish a written statement duly acknowledged of the amount due on this mortgage and whether any offsets or defenses exist against the mortgage debt.
8. That notice and demand or request may be in writing and may be served in person or by mail.
9. The mortgagor warrants the title to the premises as relates to matters arising subsequent to the taking of ownership, and the mortgagor shall provide the mortgagee with mortgagee's title insurance.
10. That the fire insurance policies required by paragraph No. 2 above shall contain the usual extended coverage endorsement; that in addition thereto the mortgagor, within thirty days after notice and demand, will keep the premises insured against war risk and any other hazard that may reasonably be required by the mortgagee. All of the provisions of paragraphs No. 2 and 4 above relating to fire insurance and the provisions of Section 254 of the Real Property Law construing the same shall apply to the additional insurances required by this paragraph.
11. That in case of a foreclosure sale, said premises, or so much thereof as may be affected by this mortgage, may be sold in one parcel.
12. That if any action or proceeding be commenced (except an action to foreclose this mortgage or to collect the debt secured thereby), to which action or proceeding the mortgagee is made a party, or in which it becomes necessary to defend or uphold the lien of this mortgage, all sums paid by the mortgagee for the expense of any litigation to prosecute or defend the rights and lien created by this mortgage (including reasonable counsel fees), shall be paid by the mortgagor, together with interest thereon at the rate of six per cent, per annum, and any such sum and the interest thereon shall be a lien on said premises, prior to any right, or title to, interest in or claim upon said premises attaching or accruing subsequent to the lien of this mortgage, and shall be deemed to be secured by this mortgage. In any action or proceeding to foreclose this mortgage, or to recover or collect the debt secured thereby, the provisions of law respecting the recovering of costs, disbursements and allowances shall prevail unaffected by this covenant.

13. That the mortgagor hereby assigns to the mortgagee the rents, issues and profits of the premises as further security for the payment of said indebtedness, and the mortgagor grants to the mortgagee the right to enter upon and take possession of the premises for the purpose of collecting the same and to let the premises or any part thereof, and to apply the rents, issues and profits, after payment of all necessary charges and expenses, on account of said indebtedness. This assignment and grant shall continue in effect until this mortgage is paid. The mortgagee hereby waives the right to enter upon and take possession of said premises for the purpose of collecting said rents, issues and profits, and the mortgagor shall be entitled to collect and receive said rents, issues and profits until default under any of the covenants, conditions or agreements contained in this mortgage, and agrees to use such rents, issues and profits in payment of principal and interest becoming due on this mortgage and in payment of taxes, assessments, sewer rents, water rates and carrying charges becoming due against said premises, but such right of the mortgagor may be revoked by the mortgagee upon any default, on five days' written notice. The mortgagor will not, without the written consent of the mortgagee, receive or collect rent from any tenant of said premises or any part thereof for a period of more than one month in advance, and in the event of any default under this mortgage will pay monthly in advance to the mortgagee, or to any receiver appointed to collect said rents, issues and profits, the fair and reasonable rental value for the use and occupation of said premises or of such part thereof as may be in the possession of said premises to the mortgagee or to such receiver, and in default thereof may be evicted by summary proceedings.
14. That the whole of said principal sum and the interest shall become due at the option of the mortgagee: (a) after failure to exhibit to the mortgagee, within fifteen days after demand, receipts showing payment of all taxes, water rates, sewer rents and assessments; or (b) after the actual or threatened alteration, demolition or removal of any building on the premises without the written consent of the mortgagee, except for such improvements as set forth in Paragraph 3 above; or (c) after the assignment of the rents of the premises or any part thereof without the written consent of the mortgagee; or (d) if the buildings on said premises are not maintained in reasonably good repair; or (e) after failure to comply with any requirement or order or notice of violation of law or ordinance issued by any governmental department claiming jurisdiction over the premises within three months from the issuance thereof; or (f) if on application of the mortgagee two or more fire insurance companies lawfully doing business in the State of New York refuse to issue policies insuring the buildings on the premises; or (g) in the event of the removal, demolition or destruction in whole or in part of any of the fixtures, chattels or articles of personal property covered hereby, unless the same are promptly replaced by similar fixtures, chattels and articles of personal property at least equal in quality and condition to those replaced, free from any reservation of title thereto; or (h) ~~after thirty days' notice to the mortgagor, in the event of the passage of any law deducting from the value of land for the purpose of taxation any lien thereon, or changing in any way the taxation of mortgages or debts secured thereby for state or local purposes;~~ (i) if the mortgagor further mortgages, pledges or otherwise encumbers the premises or any part thereof or any interest therein, or (j) if the mortgagor sells, transfers, assigns conveys or otherwise alienates, whether occurring by voluntary or involuntary act, by operation of law, or

otherwise the premises or any part thereof or any interest therein, or (k) if the mortgagor or any guarantor is in default under the provision of any agreement at any time executed by the mortgagor or any guarantor in favor of the mortgagee, or (l) if, by order of a court of competent jurisdiction, a receiver, liquidator or trustee of the mortgagor or any of its properties shall be appointed and shall not have been discharged within ninety (90) days, or (m) if a petition in bankruptcy, insolvency proceeding or petition for reorganization shall have been filed or commenced against a mortgagor and same is not withdrawn, dismissed cancelled or terminated within ninety (90) days, or (n) if the mortgagor is adjudicated bankrupt or insolvent or a petition for reorganization is granted, or (o) if the mortgagor fails to keep, observe and perform any of the other covenants, conditions or agreements contained in this mortgage.

15. Intentionally omitted.

16. In the event of any default by mortgagor in the performance of any of the terms, covenants or agreements herein contained, mortgagee shall have the right to declare the whole of said principal sum and any interest due thereon payable in full. Upon notice to mortgagor of mortgagee's demand for payment in full, interest shall begin to accumulate upon the remainder of the unpaid principal at a rate of 14% per annum; (but not in excess of the maximum rate of interest provided by law.)

17. The mortgagor shall keep the premises fully insured as to fire and other casualty in an amount equal to the principal sum of this mortgage and to furnish proof of same to the mortgagee on demand.

18. In the event that any payment due hereunder is not made within ten (10) days of the date that said payment is due, then the mortgagor shall pay to the mortgagee a late fee in the amount of four percent (4%) of said late payment.

19. In the event of the foreclosure of this mortgage, the mortgagee shall be required to pay all reasonable attorney's fees, incurred by mortgagor, which sum shall be a lien on the mortgage property and added to the principal debt. This sum shall be in addition to the right of the holder to assess, tax and recover all disbursements, allowances, additional allowances and costs provided by law.

20. The mortgagor shall have the privilege of prepaying all of the entire debt secured by this mortgage on any monthly installment payment date without penalty, upon thirty days (30) prior written notice to the mortgagee.

21. This mortgage cannot be modified or discharged orally and no executory agreement shall be effective to modify or discharge it in whole or in part, unless it is in writing and signed by the party against whom enforcement of the modification or discharge is sought. Failure by the mortgagee to exercise any right, remedy or option under this mortgage or any other agreement between the mortgagor and mortgagee, or delay by the mortgagee in exercising the same, will not operate as a waiver of any such right, remedy or option or

any right remedy or option on any future occasion; No waiver by the mortgagee will be affective unless it is in writing and then only to the extent specifically stated.

22. The provisions and covenants of this Mortgage shall run with the land, shall be binding upon the mortgagor and shall inure to the benefit of the mortgagee, subsequent holders of this Mortgage and their respective successors and assigns. For the purpose of this Mortgage, the term "mortgagor" shall mean the mortgagor named herein, any subsequent owner of the premises, and their respective heirs, executors, legal representatives, successors and assigns. If there is more than one mortgagor, all their undertakings hereunder shall be deemed joint and several.
23. The validity and enforceability of this mortgage and all transactions or questions arising hereunder, shall be construed and interpreted according to the laws of the State of New York. Whenever possible, each provision of this mortgage shall be interpreted in such manner as to be effective and valid under applicable law, but if any provisions of this mortgage shall be prohibited by or invalid under applicable law, such provisions shall be ineffective to the extent of such prohibition or invalidity, without invalidating the remaining provisions of this mortgage.
24. All costs to record this mortgage in the County Clerk's Office, including records change and the mortgage tax, shall be paid by mortgagor.

IN WITNESS WHEREOF, this mortgage has been duly executed by the mortgagor.

In presence of:

Timothy Porter, Mortgagor

STATE OF NEW YORK, COUNTY OF ULSTER) SS:

On the ____ day of January in the year Two Thousand Twenty-One before me, the undersigned, a Notary Public in and for said state, personally appeared TIMOTHY PORTER, personally known to me or proved to me on the basis of satisfactory evidence to be the Individual (s) whose name (s) is (are) subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their capacity (ies), and that by his/her/their signature (s) on the instrument, the individual (s) or the person upon behalf of which the individual (s) acted, executed the instrument.

Notary

RETURN BY MAIL TO:
PETER F. MATERA, ESQ.
POST OFFICE BOX 95
WEST PARK, NY 12493